

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DK-BUTTERFLY-1, INC. f/k/a/ BED BATH & BEYOND INC. v.
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

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ANSWER TO VERIFIED FIRST AMENDED COMPLAINT

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (“Respondents” or “OOCL”) answer the Verified First Amended Complaint of Complainant 20230930-DK-BUTTERFLY-1, INC. f/k/a Bed Bath & Beyond Inc. (“Complainant” or “BBBY”) as follows with reference to the paragraph numbers in the Verified First Amended Complaint (Amended “Complaint”).

First Affirmative Defense

Without waiving any defenses, Respondents assert that BBBY’s Amended Complaint fails to state a claim for which relief can be granted. At its core, the Amended Complaint centers on BBBY’s claim that Respondents have breached the service contracts as agreed between them and BBBY. However, neither the facts pled in the Amended Complaint nor the text of the contracts themselves support such claims. The contracts’ duration ran from July 1, 2020, to April 30, 2022, and Respondents service commitments required the tender and carriage of a certain quantity of TEUs by the end of each contract’s term. There were no monthly or quarterly carriage requirements, or guaranteed space per sailing in the contract; rather BBBY is asking the Commission to invent contract requirements that were not bargained for or agreed to between the

parties. Respondents performed all the commitments as required by the service contracts, which were amended by mutual agreement before their expiration, and duly filed with the Commission.

More fundamentally, the Commission clearly lacks subject matter jurisdiction over BBY's assertions that Respondents breached the service contracts (either expressly or implicitly). The Shipping Act prescribes that "the exclusive remedy for a breach of a service contract is an action in an appropriate court." The Commission has long held that this section bars all claims premised on the obligation to meet one's contract commitments; BBY cannot unilaterally expand the agency's jurisdiction by relabeling contract-based claims as Shipping Act violations.

Additionally, BBY's reliance on Section 10(d)(1) of the Shipping Act, 46 U.S.C. 41102(c), is also misplaced, and ignores recent FMC interpretive rule and recent precedent that limits the section to only those cases where a regulated entity has engaged in a practice or regulation on a normal, customary, and continuous basis (as opposed to a particularly disputed contract or transaction) and where such practice or regulation is unjust or unreasonable.

BBY's allegations that Respondents somehow drove up freight rates, created artificial scarcity, unjustly and unreasonably exploited customers, and refused to deal with BBY are entirely false. As documented by the Commission itself, during the period in question carriers faced unprecedented challenges arising from spiking demand, record growth in U.S. imports, global intermodal supply chain delays and congestion, and shoreside COVID restrictions. These factors caused severe and protracted trans-Pacific vessel delays, which removed a significant proportion of functional capacity from the market, disrupted vessel schedules, and stretched to the limit every part of the inland intermodal supply chain. Respondents took no action to drive up freight rates, nor did they create artificial scarcity. Rather, Respondents invested in providing new

capacity and service options, and worked cooperatively with BBY and other shippers to provide the highest levels of service quality under extraordinary circumstances.

While the Respondents worked hard to meet customers' demands, BBY on the other hand repeatedly and without explanation failed to manage its own supply chain, exacerbating the bottlenecks faced by other shippers and the ability of Respondents to reposition its containers to Asia to serve its customers' unprecedented demand for service. Now, as BBY has entered bankruptcy and apparently moves forward towards liquidation, it has embarked on an unfortunate campaign to distort and obfuscate the relevant facts, contracts and law, to secure an unwarranted return. Further the Amended Complaint's addition of allegations and claims that OOCL retaliated against Complainant are completely false, unfounded and repudiated by the record evidence and testimony of numerous witnesses as outlined below. Many email quotations are taken completely out of context. There simply is no evidence that Respondents retaliated against Complainant.

Answers to Complainant's Allegations

1. Amended Complaint paragraph 1 sets forth legal conclusions for which no answer is required, but to the extent an answer is required, Respondents deny the allegations of this paragraph, including that reparations are due.

2. Respondents admit the allegations in Amended Complaint paragraph 2.

3. Respondents admit the allegations in the first sentence of Amended Complaint paragraph 3, that they are members of the OCEAN Alliance, FMC No. 012426, an agreement among ocean common carriers publicly filed with and regulated by the Federal Maritime Commission, and that the remaining allegations were included in a press report. Otherwise, Respondents are without sufficient information to admit or deny those allegations. To the extent a response is required, denied.

4. Respondents deny the allegations in Amended Complaint paragraph 4. Contrary to Complainant's false allegations, Respondents did not exploit customers or deprive shippers of capacity and did not create any artificial scarcity. To the contrary, as demand for trade surged during the period addressed by the Amended Complaint, OOCL supplied as much container-carrying capacity as they could to meet the extraordinary demand for consumer goods and other trans-Pacific trade created by the pandemic, and to alleviate the shortage of capacity caused by widespread port closures in foreign origins and delays in berthing, loading and unloading vessels.

5. Respondents deny the allegations in Amended Complaint paragraph 5.

6. Respondents deny the allegations in Amended Complaint paragraph 6. The email quotes in this paragraph were again taken out of context. Premium space was over and above the service contract Minimum Quantity Commitment ("MQC") and sold at market prices. The author of the email at issue, Thomas Schmeimann, testified in his deposition: "Q. So, specifically, I'm asking about the fourth sentence in this e-mail that says, [REDACTED]

[REDACTED] Q. Do you recall writing that? A. I don't recall writing it, but I think what I meant there was more on the side of the poor booking behavior. We still have ongoing conversations with our customers on CSAL, their allocation, their performance, on a regular basis. ¶ So I think this was more to try to, kind of, shake the tree with Trade protecting our customer and really advocating for them and using whatever means that I felt I could to leverage the Trade Group to agree. ¶ Essentially, what I'm saying is that I'll find the space for Nantucket to sign the separate contract. So perhaps I was a little overzealous in what I stated here, but ultimately what I was trying to ensure was that we kept the relationship going with Nantucket through a – through a separate contract. Q. So, earlier, I had asked if it was ever the

case that OOCL would provide for more MQC or more volume than was a part of its projections based on the understanding that certain customers would fail to meet their MQCs in the long run anyway. Q. When you say [REDACTED] is that what you're referring to? A. Yes. They might not have been booking to the right loop, or maybe not showing up and using other carriers at lower rate. I mean, it could be a lot of reasons. Q. Okay. But you did also say that you would be taking space away from customers who are not paying PSS. Was that a true statement? A. I don't think that was a true statement. I think it was part of my negotiation with our Trade Group. Again, I think I might have been a little bit zealous there. ¶ You know -- you know, in our business, sometimes the most difficult sell is the internal sell because it's the Commercial Team and on the front line. I mean, our customers are everything to us. And in the Bed Bath & Beyond case, we had a great relationship with them, and along with their affiliates, Nantucket, and we just wanted to do what was best for both Pat and Paul and -- and that group. ¶ So perhaps I pressed a little bit too hard here in my language to try to, you know, preserve the relationship with Nantucket. Q. Have you ever taken CSAL space away from a customer who was not paying PSS, in order to provide additional, more, or new space to another customer willing to pay a higher rate. A. Not to my knowledge. I mean, you can -- you can look at the performance that we had for BB&B for both contract years. And despite everything we discussed up until this point in time, I think we did an outstanding job with a 94 percent fulfillment rate in the first year and 104 percent in the second year. And there were a lot of obstacles presented to us, but we managed to keep our commitment to them at such a high level during an incredibly unprecedented time." Thomas Schmiemann deposition transcript, pages 195:23 to 199:13.¹

¹ Quotations in the deposition testimony are designated confidential and have been redacted from the public filing.

7. Respondents deny that Complainants experienced misconduct. The carrier referenced in the order cited in Docket No. 21-05 was Mediterranean Shipping Company, S.A., not COSCO Shipping Lines. Respondents lack sufficient knowledge or information to form a belief about the truth of the remaining allegations in Amended Complaint paragraph 7. To the extent an answer is otherwise required, those allegations are denied. Further, the MSC case rested upon an entry of default.

8. Respondents lack sufficient knowledge or information to form a belief about the truth of the allegations in Amended Complaint paragraph 8. To the extent an answer is otherwise required, those allegations are denied. Moreover, the quoted email language was taken completely out of context.² Andrew Donohue testified at his deposition: “Q. What did you mean by that statement? A. It was a regretful statement, probably one my own dog wouldn’t really appreciate, but it was more related, as I said, to entities that may be under some type of financial distress and coming to us to review some level of charges that had already been paid.” Andrew Donohue deposition transcript, pages 162:3 to 163:3.

9. Respondents deny the allegations in Amended Complaint paragraph 9. The record evidence and testimony demonstrate that Respondents did not discriminate against Complainant. The author of the referenced email, Thomas Schmiemann, testified at deposition that Respondents were concerned about Complainant’s solvency, and in particular said: “Q. In the fall of 2022, then, when Bed Bath & Beyond was complaining about not being treated as similarly situated shippers, what is your assessment as to whether or not they were similarly situated as other shippers during that time frame? A. Well, in actuality, you’re correct. They weren’t because their financial situation was much different than other similarly situated shippers, and we had to protect ourselves from a

² The referenced email is designated confidential.

business standpoint. Q. And is -- in retrospect, is that -- is that the reason why OOCL took the action that it did? A. It was one of the compelling reasons, yes.” Thomas Schmiemann deposition transcript, pages 311:4 to 312:13.³

10. Respondents deny the allegations in Amended Complaint paragraph 10. The record evidence shows that no OOCL employee has described Respondent’s pricing as “gouging.” Complainant’s own record cites clearly show an internal concern of *perception*, despite compliance with FMC rules, with that concern being erased after review of the data.⁴ The concerned party, Mike Young, testified in his deposition that the perception of gouging “appeared to be not really an issue” after contract analysis was performed. *See* Mike Young deposition transcript, pages 264:8 to 265:4.

11. Respondents deny the allegations in Amended Complaint paragraph 11.

12. Respondents deny the allegations in Amended Complaint paragraph 12.

13. Respondents admit that OOCL’s 2021 Annual Report contained the language quoted at Complaint paragraph 10 but, except as admitted, deny the allegations in Amended Complaint paragraph 13.

14. Respondents deny the allegations in Amended Complaint paragraph 14.

15. Amended Complaint paragraph 15 sets forth legal conclusions for which no answer is required, but to the extent an answer is required, Respondents deny the allegations of this paragraph, including that reparations are due.

16. Respondents lack sufficient knowledge or information to form a belief about the truth of the allegations in Amended Complaint paragraph 16.

17. Respondents admit the allegations in Amended Complaint paragraph 17.

³ The referenced email is designated confidential.

⁴ The referenced email is designated confidential.

18. Respondents admit the allegations in Amended Complaint paragraph 17.

19. Respondents deny the allegation that OOIL is majority owned or controlled by COSCO SHIPPING Lines Co., Ltd., and admit the remaining allegations in Amended Complaint paragraph 19.

20. Respondents deny the allegations in Amended Complaint paragraph 20.

21. Respondents deny the allegations in Amended Complaint paragraph 21. Respondents deny that the FMC has jurisdiction over this matter to the extent BBY's claims constitute breach of contract claims.

22. Respondents admit the allegations in Amended Complaint paragraph 22.

23. Respondents deny the allegations in Amended Complaint paragraph 23. Complainant's reliance on Section 10 (d)(l) of the Shipping Act, 46 U.S.C. 41102(c), is misplaced, and fails to plead any alleged facts that would establish that a regulated entity has engaged in a practice or regulation on a normal, customary, and continuous basis where such practice or regulation is unjust or unreasonable.

24. Respondents deny the allegations in Amended Complaint paragraph 24.

25. Respondents deny the allegations in Amended Complaint paragraph 25.

26. Respondents deny the allegations in Amended Complaint paragraph 26.

27. Respondents deny the allegations in Amended Complaint paragraph 27.

28. Respondents deny the allegations in Amended Complaint paragraph 28.

29. Respondents deny the allegations in Amended Complaint paragraph 29.

30. Respondents deny the allegations in Amended Complaint paragraph 30.

31. Respondents deny the allegations in Amended Complaint paragraph 31. The allegations set forth in this paragraph are refuted by the record evidence showing that in the 2021-

2022 service contract year, Respondents provided 94% of its MQC space allocation obligation to Complainant. *See* OOCL_0000254138-39.⁵ Further, former BBY Senior Director of International Supply Chain Pat Hackett testified at his deposition as follows: “Q. Right. But you - - Bed Bath, you’ve done whatever you’re going to do with respect to identifying the containers that you shipped, but you haven’t done any type of analysis to figure out whether or not OOCL has provided all of the space that it agreed to provide, have you, sir? (objection interposed). A. And that we didn’t use it; that’s your premise? Q. Well, you didn’t use it, but what I’m asking you is: Did you ever do an analysis to determine whether or not OOCL provided all of the space that it said it was going to provide? A. Not to my knowledge. (objection interposed).” Patrick Hackett deposition transcript, pages 293:18 to 294:10.

32. Respondents admit the allegations in Amended Complaint paragraph 32.

33. Respondents admit that the MQC was 4200 TEUs (equivalent to 2100 FEUs), when the 2020 Service Contract was first executed on July 1, 2020; however, during the contract terms the parties agreed to an amendment reducing the MQC to 2171 TEUs. Except as admitted, Respondents deny the allegations in Amended Complaint paragraph 33. The contract contained no monthly quantity commitments.

34. Respondents deny the allegations in Amended Complaint paragraph 34.

35. Respondents deny the allegations in Amended Complaint paragraph 35. Complainant did not utilize all the space that Respondents made available to the Complainant during the contract year.

36. Respondents deny the allegations in Amended Complaint paragraph 36.

37. Respondents deny the allegations in Amended Complaint paragraph 37.

⁵ This document is designated confidential.

38. Respondents deny the allegations in Amended Complaint paragraph 38.
39. Respondents deny the allegations in Amended Complaint paragraph 39.
40. Respondents deny the allegations in Amended Complaint paragraph 40.
41. Respondents deny the allegations in Amended Complaint paragraph 41.
42. Respondents deny the allegations in Amended Complaint paragraph 42.
43. Respondents deny the allegations in Amended Complaint paragraph 43.
44. Respondents admit the allegations in Amended Complaint paragraph 44.
45. Respondents admit the allegations in Amended Complaint Paragraph 45 to the extent only that the MQC was 7592 TEUs (equivalent to 3796 FEUs), when the 2021 Service Contract was first executed; however, during the contract terms the parties agreed to an amendment reducing the MQC to 3061 TEUs. Except as admitted, Respondents deny the allegations in Amended Complaint paragraph 45. Further, the contract contained no monthly quantity commitments.
46. Respondents deny the allegations in Amended Complaint paragraph 46. The service contract did not provide for any monthly allocations.
47. Respondents deny the allegations in Amended Complaint paragraph 47. Complainant did not utilize all the space that Respondents made available to the Complainant during the contract year.
48. Respondents admit that Respondents' employee received an email dated August 25, 2021, that contained the language quoted in Amended Complaint paragraph 48 but, except as admitted, deny the allegations in Amended Complaint paragraph 48. Further, on September 24, 2021, Jim Mitchell forwarded a spreadsheet to BBY's Vice President for International Supply Chain Pat Hackett that showed, among other things, that during many weeks in the spring and

summer of 2021 Complainant had booked cargo on service loops where no space was allocated due to Claimant's lack of timely request for same, and booked more containers than were allocated.⁶ OOCL had repeatedly advised Complainant and its third-party logistics' provider Yusen Logistics that they needed to book space up to the allocation not over it. Further, record evidence exists that Complainant double-booked cargo with more than one carrier, which led it to cancel bookings it had made with OOCL.

49. Respondents deny the allegations in Amended Complaint paragraph 49.

50. Respondents admit that Respondents' employee sent an email dated August 20, 2021 that contained the language quoted in Amended Complaint paragraph 50 but, except as admitted, deny the allegations in Amended Complaint paragraph 50.

51. Respondents deny the allegations in Amended Complaint paragraph 51.

52. Respondents deny the allegations in Amended Complaint paragraph 52.

53. Respondents deny the allegations in Amended Complaint paragraph 53.

54. Respondents deny the allegations in Amended Complaint paragraph 54.

55. Respondents admit the allegations in Amended Complaint paragraph 55.

56. Respondents admit that Section 9 of the 2020 Service Contract contains the language quoted in Amended Complaint paragraph 56 but, except as admitted, deny the allegations in Amended Complaint paragraph 56.

57. Respondents admit that Appendix A of the 2020 Service Contract, Note S1 contains the language quoted in Amended Complaint paragraph 57.

58. Respondents deny the allegations in Amended Complaint paragraph 58.

⁶ The referenced email and attachment are designated confidential.

59. Respondents admit that Respondents' employee sent an email dated December 22, 2020 that contained the language quoted in Amended Complaint paragraph 59 but, except as admitted, deny the allegations contained in Amended Complaint paragraph 59.

60. Respondents deny the allegations in Amended Complaint paragraph 60.

61. Respondents admit that Respondents' employee sent an email dated October 23, 2020 that contained the language quoted in Amended Complaint paragraph 61 but, except as admitted, deny the allegations in Amended Complaint paragraph 61. See also answer to paragraph 6 above, which is incorporated herein by reference.

62. Respondents admit that Respondents' employee sent an email dated January 5, 2021 that contained the language quoted in Amended Complaint paragraph 62 but, except as admitted, Respondents deny the allegations in Amended Complaint paragraph 62. Further, the email quote is taken out of context because it referred to the premium-rate contract pursuant to which extra space was provided (beyond the service contract MQC) and such extra space was priced at market rates.⁷ The premium-rate contracts did not affect the carrier's MQC requirement under the annual service contract.

63. Respondents admit that Respondents' employee sent an email dated January 12, 2021 that contained the language quoted in Amended Complaint Paragraph 63 but, except as admitted, Respondents deny the allegations in Complaint paragraph 63. Further, the email quote is taken out of context because it referred to the premium-rate contract pursuant to which extra space was provided (beyond the service contract MQC) and such extra space was priced at market rates.⁸ The premium-rate contracts did not affect the carrier's MQC requirement under the annual service contract.

⁷ The referenced email is designated confidential.

⁸ The referenced email is designated confidential.

64. Respondents admit that Respondents' employee sent an email that contained the language quoted in Amended Complaint paragraph 64 but, except as admitted, deny the allegations in Amended Complaint paragraph 64. Further, the email quote is taken out of context because it referred to the premium-rate contract pursuant to which extra space was provided (beyond the service contract MQC) and such extra space was priced at market rates.⁹ The premium-rate contracts did not affect the carrier's MQC requirement under the annual service contract.

65. Respondents admit that Respondents' employee sent an email that contained the language quoted in Amended Complaint paragraph 65, but except as admitted, Respondents deny the allegations in Amended Complaint paragraph 65. Further, the email quote is taken out of context because it referred to the premium-rate contract pursuant to which extra space was provided (beyond the service contract MQC) and such extra space was priced at market rates.¹⁰ The premium-rate contracts did not affect the carrier's MQC requirement under the annual service contract.

66. Respondents admit that Respondents' employee sent an email on January 21, 2021, that contained the language quoted in Amended Complaint paragraph 66 but, except as admitted, deny the allegations in Amended Complaint paragraph 66. Further, the email quote is taken out of context because it referred to the premium-rate contract pursuant to which extra space was provided (beyond the service contract MQC) and such extra space was priced at market rates.¹¹ The premium-rate contracts did not affect the carrier's MQC requirement under the annual service contract.

⁹ The referenced email is designated confidential.

¹⁰ The referenced email is designated confidential.

¹¹ The referenced email is designated confidential.

67. Respondents admit that Respondents' employee sent an email dated October 25, 2021, that contained the language quoted in Amended Complaint paragraph 67 but except as admitted, Respondents deny the allegations in Complaint paragraph 67. Further, the email quote is taken out of context because it referred to an outreach campaign addressing an effort to reach agreement with shippers for peak-season surcharges for the fall of 2021.¹² Paragraph 67 follows the reasoning of previous paragraphs 61 through 66 that addressed rates charged pursuant to premium contracts, which are completely separate. A peak season surcharge did not affect the carrier's MQC requirement under the annual service contract as attested to by numerous OOCL witnesses. For example, Thomas Schmeimann testified: "Q. Do you remember how the rate was set? A. The PSS rate? Q. Yes, sir. A. No. All I know is that the PSS was a mutually agreed upon rate. So some customers may agree to pay 600; some, 800; some, 200. It all depends on what was mutually agreed upon because the PSS had to be amended into the contract. And the customer also had the option of not accepting the PSS, and, you know, many did. They didn't pay a PSS, but they were still kept to their allocation." *See* Thomas Schmiemann deposition transcript, pages 191:21 to 192:10.

68. Respondents admit that Respondents' employee sent an email dated January 22, 2021 that contained the language quoted in Amended Complaint paragraph 68 but except as admitted, Respondents deny the allegations in Amended Complaint paragraph 68. Further, the email quote is taken out of context because it referred to the premium-rate contract pursuant to which extra space was provided (beyond the service contract MQC) and such extra space was priced at market rates.¹³ The premium-rate contracts did not affect the carrier's MQC requirement under the annual service contract.

¹² The referenced email is designated confidential.

¹³ The referenced email is designated confidential.

69. Respondents deny the allegations in Amended Complaint paragraph 69.

70. Respondents deny the allegations in Amended Complaint paragraph 70.

71. Respondents deny the allegations in Amended Complaint paragraph 71.

72. Respondents admit that Respondents' employee sent an email dated January 16, 2021 that contained the language quoted in Amended Complaint paragraph 72 but except as admitted, Respondents deny the allegations in Amended Complaint paragraph 72. Further, the email quote is taken out of context.¹⁴ The author of the email, Thomas Schmeimann, testified at deposition as follows: "Q. So this is an e-mail, I think, dated January 16, 2021, from you to the Team. And you say, [REDACTED] -- in that third sentence, [REDACTED]

[REDACTED] Did I read those two sentences correctly? A. Yes. Q. And this e-mail, this related to customers that had actually met their MQC, correct? A. That's correct. Q. So when you were saying that [REDACTED] [REDACTED] is that because they had already met their MQC? A. That's correct. Q. Okay. So you weren't saying that they would be removed from CSAL, whatever they had committed, because they didn't have any CSAL committed; they were done by then? A. That's correct." See Thomas Schmiemann deposition transcript, pages 319:24 to 321:3.¹⁵

73. Respondents admit that Respondents' employee sent an email dated January 21, 2021 that contained the language quoted in Amended Complaint paragraph 73 but, except as admitted, Respondents admit the allegations in Amended Complaint paragraph 73. Further, the email quote is taken out of context because it referred to the premium-rate contract pursuant to which extra space was provided (beyond the service contract MQC) and such extra space was

¹⁴ The referenced email is designated confidential.

¹⁵ Quotations in the deposition testimony are designated confidential and have been redacted from the public filing.

priced at market rates.¹⁶ The premium-rate contracts did not affect the carrier's MQC requirement under the annual service contract.

74. Respondents admit that Respondents employee sent an email dated July 28, 2020, that contained the language quoted in Amended Complaint paragraph 74 but, except as admitted, Respondents deny the allegations in Amended Complaint paragraph 74. Further, the email quote is taken out of context because it referred to space offered beyond the service contract's MQC.¹⁷ Clause 10(e) of the 2020/2021 service contract specifically provided as follows: [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

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75. Respondents admit that Respondents employee sent an email dated October 15, 2021 that contained the language quoted in Amended Complaint paragraph 75 but, except as admitted, Respondents deny the allegations in Amended Complaint paragraph 75.

76. Respondents admit that Respondents' employees' emails contained the language quoted in Amended Complaint paragraph 76 but, except as admitted, Respondents deny the allegations in Amended Complaint paragraph 76. Further, the allegations set forth in this paragraph are refuted by the record evidence showing that in the 2021-2022 service contract year, Respondents provided 94% of its MQC space allocation obligation to Complainant. *See* OOCL_0000254138-39.¹⁹ The author of BBY's letter, former BBY Senior Director of International Supply Chain Pat Hackett, testified at his deposition as follows: "Q. Right. But you

¹⁶ The referenced email is designated confidential.

¹⁷ The referenced email is designated confidential.

¹⁸ The relevant service contracts are designated confidential and have been redacted from the public filing

¹⁹ This document is designated confidential.

-- Bed Bath, you've done whatever you're going to do with respect to identifying the containers that you shipped, but you haven't done any type of analysis to figure out whether or not OOCL has provided all of the space that it agreed to provide, have you, sir? (objection interposed). A. And that we didn't use it; that's your premise? Q. Well, you didn't use it, but what I'm asking you is: Did you ever do an analysis to determine whether or not OOCL provided all of the space that it said it was going to provide? A. Not to my knowledge. (objection interposed)." Patrick Hackett deposition transcript, Pages 293:18 to 294:10.

77. Respondents deny the allegations in Amended Complaint paragraph 77.

78. Respondents admit that the FMC's Chairman made the statements in Amended Complaint paragraph 78, but except to the extent admitted, deny the allegations in Amended Complaint paragraph 78.

79. Respondents admit that the quoted language in Amended Complaint paragraph 79 is attributed to FMC Chairman Maffei, but except to the extent admitted, deny the allegations in Amended Complaint paragraph 79.

80. Respondents admit that a Press Release published by the FMC on or about August 4, 2021 contained the language quoted in Amended Complaint paragraph 80 but, except as admitted, deny the allegations in Complaint paragraph 80.

81. Respondents deny the allegations in Amended Complaint paragraph 81.

The Demurrage and Detention Charges

82. Respondents deny the allegations in Amended Complaint paragraph 82.

83. Respondents deny the allegations in Amended Complaint paragraph 83.

84. Respondents admit the quoted language in Amended Complaint paragraph 84, but otherwise deny the allegations in Amended Complaint paragraph 84.

85. Respondents admit the quoted language in Amended Complaint paragraph 85, but otherwise deny the allegations in Amended Complaint paragraph 85.

86. Respondents admit that in October 2021 a BBY employee sent a letter to an OOCL employee but otherwise deny the allegations in Amended Complaint paragraph 86.

87. Respondents deny the allegations in Amended Complaint paragraph 87.

88. Respondents deny the allegations in Amended Complaint paragraph 88.

89. Respondents admit that an OOCL employee sent an email dated September 26, 2021 that contained the language quoted in Amended Complaint paragraph 89 but, except as admitted, Respondents deny the allegations in Amended Complaint paragraph 89.

90. Respondents admit that an OOCL employee sent an email that contained the language quoted in Amended Complaint paragraph 90 but, except as admitted, Respondents deny the allegations in Amended Complaint paragraph 90. Further, anecdotal information about a purported impact does not translate to an actual impact. For example, Thomas Schmeimann testified at deposition as follows: “Q. Do you know what you’re referring to when you said, [REDACTED]

[REDACTED] A. Yeah. They were complaining to us about pickup appointments and empty returns. And we asked them for additional information to support that so we can provide the data to the Dispute Team, and then I don’t think they ever provided it.” Thomas Schmiemann deposition transcript, pages 248:16 to 249:2.²⁰ Aside from its letters complaining generally about demurrage and detention charges of October 18, 2021 and February 9, 2022, Complainant submitted very few claims relating to specific containers. Tracy Sha, OOCL’s Demurrage and Detention Department Supervisor testified at deposition as follows: “Q. When you

²⁰ Quotations in the deposition testimony are designated confidential and have been redacted from the public filing.

were talking earlier about the two email boxes, do I understand you correctly to state that there were essentially two claim disputes submitted by Bed Bath & Beyond actually during the pandemic? A. I don't think we call it -- or it is dispute. It's email communication. Q. Okay. A. Yes. Q. But there are two email communications about DD charges submitted by Bed Bath & Beyond during the pandemic? A. Yes. Q. And do you know what happened with those particular charges? A. One case is talk about container return to our off hire [ph] location and the customer asked us to confirm the status, it is returned or not, if I remember correctly, and we confirmed the status back and the case closed. And the other case is customer speak about they cannot find return location as -- they cannot return the container related to lack of appointment, and we confirm like, "Okay, keep looking for the appointment and let us know if anything we can help," and it stopped there, yeah." *See* Tracy Sha deposition transcript, pages 216:13 to 217:14. While claiming adjustments are owed for demurrage and detention charges for over one thousand containers, Complainant has submitted no explanation or justification as to why the charge in each case was beyond its control. Tracy Sha testified: "Q. Okay. You testified earlier about receiving a spreadsheet from Bed Bath & Beyond of all of the DD charges that had been assessed. Do you recall when you received that spreadsheet? A. I think it's March 2023, early 2023. Q. And in that spreadsheet, what, if anything, was included in it explaining, you know, why the adjustments were requested or provided any justification for the request for reduction in DD charges? A. No, the spreadsheet doesn't have any detail, doesn't have any detail speak about the justification from the customer side saying why the charge is not valid. There's no detail." Tracy Sha deposition transcript, page 220:3 to 220:17. Moreover, each former BBY employee who has testified to date has confirmed that BBY made no assessment as to each container whether delay was caused because of a lack of chassis, appointments, trucks, truck drivers, rail capacity or the like. *See, e.g.,*

Patrick Hackett deposition transcript, pages 67:3 to 70:13; Seweryn Soban deposition transcript, pages 72:15 to 74:20; Ian Pinchuk deposition transcript, pages 16:15 to 23:21; Melinda Porter deposition transcript, pages 35:3 to 38:22; Gisella Stupnik deposition transcript, pages 51:7 to 52:5; Reid Klosowsky deposition transcript, pages 92:6 to 95:17; Paul Pastor deposition transcript, pages 80:11 to 84:14.

91. Respondents admit that an OOCL employee sent an email dated February 2, 2022, that contained the language quoted in Amended Complaint paragraph 91 but, except as admitted, Respondents deny the allegations in Amended Complaint paragraph 91. Further see also answer to paragraph 90 above, which is incorporated herein by reference.

92. Respondents deny the allegations of Amended Complaint paragraph 92.

93. Respondents deny the allegations of Amended Complaint paragraph 93. Further, Respondents deny that they were obligated to locate or provide any chassis to Complainant. Respondents are not in the chassis business, and the service contract specifically provided that chassis. Service Contract Clause 38 provides as follows: [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

94. Respondents admit that a BBY employee sent an email dated November 30, 2021 that contained the language quoted in Amended Complaint paragraph 94 but, except as admitted, deny the allegations in Amended Complaint paragraph 94.

95. Respondents deny the allegations in Amended Complaint paragraph 95. Further, aside from an anecdotal statement that “there are not enough chassis to swap,” Complainant has produced no evidence as to any particular container that there was no available chassis to swap.

96. Respondents deny the allegations in Amended Complaint paragraph 96. Respondent assisted Complainant in arranging (through its affiliated inland carrier EDI) for an entire train to transport Complainants’ long-dwell containers from LALB to Dallas and Savannah. Contrary to its allegations, Respondent did not charge Complainant any freight for such transportation as it is not an inland transportation carrier. Moreover, Respondents waived detention charges for the time that its containers were aboard the train.

97. Respondents deny the allegations in Amended Complaint paragraph 97.

98. Respondents deny the allegations in Amended Complaint paragraph 98. Despite its allegations about late billing, Complainant did not make a request for a refund of the demurrage and detention charges assessed until October 18, 2021 and then without any supporting evidence, aside from anecdotal assertions about matters purportedly beyond Complainant’s control. By contrast, OOCL vetted each of the demurrage and detention charges. Tracy Sha testified at deposition as follows: “Q. Okay. And so what did you do with respect to the conclusions that you reached after vetting every one of these containers? What did you conclude? A. Yeah. So what we

²¹ The relevant service contracts are designated confidential and have been redacted from the public filing

concluded definitely is we now have the OOCL, our side of the data of the charge amount. Also we have the justification, so we do have a finding that among the list, there are ten containers in a particular day for their container type the terminal is not able to accept empty return. So for those ten days or ten containers, we marked that there's one day invalid, and we issue the credit note for that amount. So that is marked in the sheet under Column V and Column W, yeah. And for the rest of the days is the majority because there's more than one thousand containers -- (Reporter clarification.) A. For the rest of the record in overall, there's more than 1,000 container records. What we presented here is the justification for why we view the charge is valid, so we giving the justification for the charge billed dates." *See* Tracy Sha transcript, pages 224:25 to 225:24. Moreover, the Andrew Donohue's quoted email language was taken completely out of context; he testified at his deposition: "Q. What did you mean by that statement? A. It was a regretful statement, probably one my own dog wouldn't really appreciate, but it was more related, as I said, to entities that may be under some type of financial distress and coming to us to review some level of charges that had already been paid." Andrew Donohue Deposition Transcript, pages 162:3 to 163:3.²² Mr. Donohue's email was an internal email that was not shared outside the company.

99. Respondents admit the language quoted is contained in the FMC's Interpretive Rule on Demurrage and Detention, but except as admitted, deny the allegations in Amended Complaint paragraph 99.

100. Respondents admit that the language quoted is contained in Fact Finding Investigation 29, but otherwise deny the allegations in Amended Complaint paragraph 100.

101. Respondents deny the allegations in Amended Complaint paragraph 101.

²² The referenced email is designated confidential.

102. Respondents deny the allegations in Amended Complaint paragraph 102. Further, contrary to Complainant's allegations, the premium-rate contract afforded extra space (beyond the service contract MQC) at market rates. The premium-rate contracts did not affect the carrier's MQC requirement under the annual service contract.

103. Respondents deny the allegations in Amended Complaint paragraph 103. Further the record evidence is that OOCL provided 104% of its MQC space allocation obligation during the 2020/2021 service contract year and 94% during the 2021/2022 service contract year. *See* OOCL_0000254138-39.²³

104. Respondents deny the allegations in Amended Complaint paragraph 104. Further, contrary to Complainant's allegations, the premium-rate contract afforded extra space (beyond the service contract MQC) at market rates. The premium-rate contracts did not affect the carrier's MQC requirement under the annual service contract.

105. Respondents admit that Respondents' employee sent an email dated January 6, 2021 that contained the language quoted in Amended Complaint paragraph 105 but, except as admitted, denies the allegations of Amended Complaint paragraph 105. Further, the email quote is taken out of context because it referred to the premium-rate contract pursuant to which extra space was provided (beyond the service contract MQC) and such extra space was priced at market rates.²⁴ The premium-rate contracts did not affect the carrier's MQC requirement under the annual service contract.

106. Respondents admit that the Pilot Program continued through the 2021 Service Contract Year but, except as admitted, deny the allegations in Amended Complaint paragraph 106. Further, contrary to Complainant's allegations, the premium-rate contract afforded extra space

²³ This document is designated confidential.

²⁴ The referenced email is designated confidential.

(beyond the service contract MQC) at market rates. The premium-rate contracts did not affect the carrier's MQC requirement under the annual service contract. Extra space under the premium rate contract was offered as extra-loaders (additional vessel capacity) became available, and each extra-space offer was accompanied by a contract amendment signed by both parties. There was no coercion.

107. Respondents admit that Respondents' employee sent an email dated January 8, 2021 that contained the language quoted in Amended Complaint paragraph 107 but, except as admitted, Respondents deny the allegations in Amended Complaint paragraph 107.

108. Respondents admit that Respondents' employee sent an email dated January 28, 2021 that contained the language quoted in Amended Complaint paragraph 108 but, except as admitted, Respondent deny the allegations in Amended Complaint paragraph 108.

109. Respondents admit that employees sent emails on January 29, 2021 and July 1, 2021 that contained the language quoted in Amended Complaint paragraph 109 but, except as admitted, deny the allegations in Amended Complaint paragraph 109.

110. Respondents admit that employees sent emails on that contained the language quoted in Amended Complaint paragraph 110 but, except as admitted, deny the allegations in Amended Complaint paragraph 110. Further, the email quote is taken out of context because it referred to the premium-rate contract pursuant to which extra space was provided (beyond the service contract MQC) and such extra space was priced at market rates.²⁵ The premium-rate contracts did not affect the carrier's MQC requirement under the annual service contract.

111. Respondents admit the allegations in Amended Complaint paragraph 111.

²⁵ The referenced email is designated confidential.

112. Respondents admit that a premium rate contract covered January 20, 2021, through April 30, 2021, but otherwise deny the allegations in Amended Complaint paragraph 112. Further, contrary to Complainant's allegations, the premium-rate contract afforded extra space (beyond the service contract MQC) at market rates. The premium-rate contracts did not affect the carrier's MQC requirement under the annual service contract.

113. Respondents deny the allegations in Amended Complaint paragraph 113.

114. Respondents deny the allegations in Amended Complaint paragraph 114. Further, contrary to Complainant's allegations, the premium-rate contract afforded extra space (beyond the service contract MQC) at market rates. The premium-rate contracts did not affect the carrier's MQC requirement under the annual service contract. Respondents did not demand that Complainant agree to premium rates to book cargo during the 2021-2022 service contract year.

115. Respondents deny the allegations in Complaint paragraph 115. Further, contrary to Complainant's allegations, the premium-rate contract afforded extra space (beyond the service contract MQC) at market rates. The premium-rate contracts did not affect the carrier's MQC requirement or rates under the annual service contract.

116. Respondents admit that Respondents' employee sent email on July 15 and July 23, 2021 that contained the language quoted in Amended Complaint paragraph 116 but, except as admitted, deny the allegations in Amended Complaint paragraph 116.

117. Respondents admit that Respondents' employee sent an email on July 29, 2021 that contained the language quoted in Amended Complaint paragraph 117 but, except as admitted, deny the allegations in Amended Complaint paragraph 117. Further, the email quote is taken out of context because it referred to the premium-rate contract pursuant to which extra space was

provided (beyond the service contract MQC) and such extra space was priced at market rates.²⁶ The premium-rate contracts did not affect the carrier's MQC requirement under the annual service contract.

118. Respondents admit that Respondents' employee sent an email on August 5, 2021 that contained the language quoted in Amended Complaint paragraph 118 but, except as admitted, deny the allegations in Amended Complaint paragraph 118. Further OOCL's Northeast Regional Business Analyst Donna Forminio testified at deposition as follows: "Q. Are you aware of any specific instance where a booking was declined for Bed Bath under the service contract and a booking was confirmed under the premium contract for the same vessel and service loop? A. I'm not aware of that. I did not see that happen." *See* Donna Forminio deposition transcript, pages 426:10 to 426:18.

119. Respondents admit that an OOCL employee circulated an internal document on or around September 8, 2021 that contained the language quoted in Amended Complaint paragraph 119 but, except as admitted, deny the allegations in Amended Complaint paragraph 119. Further, while Complainant's allegation is that the email said Respondents [REDACTED] [REDACTED] the concern actually expressed was that the [REDACTED]

[REDACTED]²⁷ Yet Mike Young testified at his deposition that he was not aware of any regulatory violation committed by Respondents with respect to Complainant during the pandemic, nor was he aware of how much space Respondents afforded to Complainant; instead, he would defer to others. *See* Mike Young deposition transcript, pages 287:17 to 289:1.

²⁶ The referenced email is designated confidential.

²⁷ Quotations in the deposition testimony are designated confidential and have been redacted from the public filing.

120. Respondents admit that Respondents' employee sent an email on February 23, 2022, that contained the language quoted in Amended Complaint paragraph 120 but, except as admitted, deny the allegations in Amended Complaint paragraph 120.

121. Respondents admit that Respondents' employee sent an email on March 22, 2022, that contained the language quoted in Amended Complaint paragraph 121 but, except as admitted, deny the allegations in Amended Complaint paragraph 121.

122. Respondents deny the allegations in Amended Complaint paragraph 122.

123. Respondents deny the allegations in Amended Complaint paragraph 123.

124. Respondents deny the allegations in Amended Complaint paragraph 124. The record evidence shows that in the 2021-2022 service contract year, Respondents provided 94% of its MQC space allocation obligation to Complainant. *See* OOCL_0000254138-39.²⁸

125. Respondents admit that Respondents' employee sent an email on October 2, 2020 that contained the language quoted in Amended Complaint paragraph 125 but, except as admitted, deny the allegations in Amended Complaint paragraph 125. Further, there are multiple reasons for declined bookings, including without limitation failure to book for a service loop where space has been allocated, failure to book within the available service loop allocation, and late bookings. Additionally, the record evidence is that Complainants often made double-bookings and regularly booked over their allocations, which Respondents had advised would lead them to have to decline such bookings. Further there were numerous "no shows" and cancellations of bookings made by the Complainant.

126. Respondents admit that Mike Young circulated an internal document on or around September 8, 2021 that contained the language quoted in Amended Complaint paragraph 126 but,

²⁸ This document is designated confidential.

except as admitted, deny the allegations in Amended Complaint paragraph 126. Further, Mike Young admitted at deposition that he did not know any of the specific space allocation details relating to any specific customer. *See* Mike Young deposition transcript, page 287:14-23.

127. Respondents admit that Respondents' employee sent an email on September 24, 2021 that contained the language quoted in Amended Complaint paragraph 127 but, except as admitted, deny the allegations in Amended Complaint paragraph 127. Further, the email quote is taken out of context because it only relates to external booking requests (EBRs) and does not reflect the majority of bookings made through Respondents' IRIS4 computer system, which does have visibility with respect to the booking details.²⁹

128. Respondents admit that Respondents' employee Mike Young sent an email on September 27, 2021 that contained the language quoted in Amended Complaint paragraph 128 but, except as admitted, deny the allegations in Amended Complaint paragraph 128. Further, the email quote is taken out of context because it only relates to external booking requests (EBRs) and does not reflect the majority of bookings made through Respondents' IRIS4 computer system, which does have visibility with respect to the booking details.³⁰

129. Respondents deny the allegations in Amended Complaint paragraph 129.

130. Respondents deny the allegations in Amended Complaint paragraph 130.

131. Respondents deny the allegations in Amended Complaint paragraph 131.

132. Respondents admit that Respondents' employee sent email on August 11 and 27, 2020 that contained the language quoted in Amended Complaint paragraph 132 but, except as admitted, deny the allegations in Amended Complaint paragraph 132.

²⁹ The referenced email is designated confidential.

³⁰ The referenced email is designated confidential.

133. Respondents admit that Respondents' employee sent an email on August 27, 2020, and that on November 13, 2020 Complainant's employee sent an email that contained the language quoted in Amended Complaint paragraph 133 but, except as admitted, deny the allegations in Amended Complaint paragraph 133.

134. Respondents admit that Respondents' employee sent an email on October 13, 2021, that contained the language quoted in Amended Complaint paragraph 134 but, except as admitted, deny the allegations in Amended Complaint paragraph 134.

135. Respondents admit that Respondents' employee sent an email on October 22, 2021, that contained the language quoted in Amended Complaint paragraph 135 but, except as admitted, deny the allegations in Amended Complaint paragraph 135.

136. Respondents deny the allegations in Amended Complaint paragraph 136. Further, the Marine Terminal Operators were within their rights to require the payment of demurrage before long-dwell containers were released from the Long Beach Container Terminal.

Respondent's Retaliation

137. Respondents deny the allegations in Amended Complaint paragraph 137. OOCL did not retaliate against Complainant. [REDACTED]

[REDACTED]

[REDACTED]. See OOCL_0000044251.³¹ [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

³¹ This document is designated confidential and information derived therefrom, which relates to Respondent's business decisions, is redacted from the public filing.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] Numerous OOCL witnesses have testified that no retaliation occurred. For instance, OOCL's Northeast Regional Business Analyst Donna Forminio testified as follows: "Q. What was your -- what was your assessment based upon your experience working through the pandemic years of shipping years 2020-'21 and '21-'22 as to whether or not OOCL ever retaliated against Bed Bath & Beyond? A. I never saw any incidents of retaliation. If anything, you know, they were really a valued customer, and we all worked pretty hard to try and get them what they needed under very difficult circumstances. So I did not see any retaliation at all. There was certainly none as far as space. And I didn't see anything in any contract negotiations that gave me any pause at all when it came to that." Donna Forminio deposition transcript, pages 426:19 to 427:11.

138. Respondents deny the allegations in Amended Complaint paragraph 138. See also answer to Paragraph 137 above, which is incorporated herein by reference.

139. Respondents admit that Complainant sent a letter dated October 18, 2021 that contains the quoted language in Amended Complaint paragraph 139 but, except as admitted, deny

the allegations in Amended Complaint paragraph 139. See also answer to Paragraph 90 above, which is incorporated herein by reference.

140. Respondents admit that Respondents' employee sent an email dated October 20, 2021, that contained the language quoted in Amended Complaint paragraph 140 but, except as admitted, deny the allegations in Amended Complaint paragraph 140.

141. Respondents admit that Respondents' employee sent an email dated October 21, 2021, that contained the language quoted in Amended Complaint paragraph 141 but, except as admitted, deny the allegations in Amended Complaint paragraph 141. Specifically, the email referred to OOCL's extra-contractual efforts to assist Complainant with a domestic move of 220-280 containers from LBCT via rail to Savannah, Georgia, which was dealt with cautiously due to Complainant's excessive past-due accounts. *See* OOCL_224203-10.³²

142. Respondents deny the allegations in Amended Complaint paragraph 142. See also answer to Paragraph 137 above, which is incorporated herein by reference.

143. Respondents specifically deny that rates set by market forces and agreed by two willing parties, as they were between Respondents and Complainant, can be "artificially high." Respondents admit that Respondents' employee sent an email dated February 18, 2022, that contained the language quoted in Amended Complaint paragraph 143 but, except as admitted, deny the allegations in Amended Complaint paragraph 143.

144. Respondents deny the allegations in Amended Complaint paragraph 144. See also answer to Paragraph 137 above, which is incorporated herein by reference.

145. Respondents admit that Respondents' employee sent an email dated February 22, 2022, that contained the language quoted in Amended Complaint paragraph 145 but, except as

³² The referenced email is designated confidential.

admitted, deny the allegations in Amended Complaint paragraph 145. See also answer to Paragraph 137 above, which is incorporated herein by reference.

146. Respondents admit that various, selective quotes were taken from Respondents' employees emails contained in Amended Complaint paragraph 146, otherwise Respondents deny the allegations in Amended Complaint paragraph 146. See also answer to Paragraph 137 above, which is incorporated herein by reference.

147. Respondents admit that Respondents' employee sent an email dated February 23, 2022, that contained the language quoted in Amended Complaint paragraph 147 but, except as admitted, deny the allegations in Amended Complaint paragraph 147. See also answer to Paragraph 137 above, which is incorporated herein by reference.

148. Respondents admit that Respondents' employee sent an email dated March 16, 2022, that contained the language quoted in Amended Complaint paragraph 148 but, except as admitted, deny the allegations in Amended Complaint paragraph 148.

149. Respondents admit that Respondents' employee sent an email dated March 19, 2022, that contained the language quoted in Amended Complaint paragraph 149 but, except as admitted, deny the allegations in Amended Complaint paragraph 149.

150. Respondents admit that Complainant sent Respondent an email dated August 11, 2022, and that Respondents' employees sent emails that contained the selectively edited language quoted in Amended Complaint paragraph 150 but, except as admitted, deny the allegations in Amended Complaint paragraph 150. See also answer to Paragraph 137 above, which is incorporated herein by reference.

151. Respondents admit that Respondents' employees sent emails that contained the selectively edited and partial language quoted in Amended Complaint paragraph 151 but, except

as admitted, deny the allegations in Amended Complaint paragraph 151. See also answer to Paragraph 137 above, which is incorporated herein by reference.

152. Respondents deny the allegations in Amended Complaint paragraph 152. See also answer to Paragraph 137 above, which is incorporated herein by reference.

153. Respondents deny the allegations in Amended Complaint paragraph 153. See also answer to Paragraph 90 above, which is incorporated herein by reference.

Complainant's Injuries

154. Respondents deny the allegations in Amended Complaint paragraph 154.

155. Respondents deny the allegations in Amended Complaint paragraph 155. See also answer to Paragraph 31 above, which is incorporated herein by reference.

156. Respondents deny the allegations in Amended Complaint paragraph 156.

157. Respondents deny the allegations in Amended Complaint paragraph 157. See also answer to Paragraph 90 above, which is incorporated herein by reference.

158. Respondents deny the allegations in Amended Complaint paragraph 158. See also answer to Paragraph 137 above, which is incorporated herein by reference.

159. Respondents deny the allegations in Amended Complaint paragraph 159.

COUNT I – VIOLATION OF 46 USC 41102(c)

160. Respondents repeat and incorporate each of the foregoing paragraphs 1-159 in its response to the allegations of Amended Complaint paragraph 160.

161. Respondents deny the allegations in Amended Complaint paragraph 161.

COUNT II – VIOLATION OF 46 USC 41102(c) and 46 CFR 545.5

162. Respondents repeat and incorporate each of the foregoing paragraphs 1-161 in its response to the allegations of Amended Complaint paragraph 162.

163. Respondents deny the allegations in Amended Complaint paragraph 163.

COUNT III – VIOLATION OF 46 USC 41104(a)(2)

164. Respondents repeat and incorporate each of the foregoing paragraphs 1-163 in response to the allegations of Amended Complaint paragraph 164.

165. Respondents deny the allegations in Amended Complaint paragraph 165.

COUNT IV – VIOLATION OF THE FORMER 46 USC 41104(a)(10) (NOW CODIFIED AT 46 USC 41102(d))

166. Respondents repeat and incorporate each of the foregoing paragraphs 1-165 in response to the allegations of Amended Complaint paragraph 166.

167. Respondents deny the allegations of Amended Complaint paragraph 167.

COUNT V – VIOLATION OF 46 USC 41104(a)(10)

168. Respondents repeat and incorporate each of the foregoing paragraphs 1-167 in response to the allegations of Amended Complaint paragraph 168.

169. Respondents deny the allegations of Amended Complaint paragraph 169.

VII. [sic] CAUSATION

170. Respondents deny the allegations of Amended Complaint paragraph 170.

171. Respondents deny the allegations of Amended Complaint paragraph 171.

172. Respondents deny the allegations of Amended Complaint paragraph 172.

173. Respondents deny the allegations of Amended Complaint paragraph 173.

174. Respondents deny the allegations of Amended Complaint paragraph 174.

VIII. REPARATIONS

175. Respondents deny the allegations of Amended Complaint paragraph 175.

176. Respondents deny the allegations of Amended Complaint paragraph 176.

177. Respondents deny the allegations of Amended Complaint paragraph 177.

178. Respondents deny the allegations of Amended Complaint paragraph 178.

179. Amended Complaint paragraph 179 contains legal arguments to which no answer is required; to the extent a response is required, denied.

180. Respondents deny the allegations of Amended Complaint paragraph 180.

181. Respondents deny the allegations of Amended Complaint paragraph 181.

182. Respondents deny the allegations of Amended Complaint paragraph 182.

183. Respondents deny the allegations of Amended Complaint paragraph 183.

184. Respondents deny the allegations of Amended Complaint paragraph 184.

185. Respondents deny the allegations of Amended Complaint paragraph 185.

186. Respondents deny the allegations of Amended Complaint paragraph 186.

187. Respondents deny the allegations of Amended Complaint paragraph 187.

IX. PRAYER FOR RELIEF

No answer is required; to the extent an answer is required, Respondents deny the all the allegations of Complainant's Amended Complaint PRAYER FOR RELIEF.

REQUEST FOR ORAL HEARING

Respondent requests an oral hearing to be held in Washington, DC.

AFFIRMATIVE DEFENSES

Second Affirmative Defense

Without waiving any other defenses, and for further answer, Respondents deny that the Federal Maritime Commission possesses subject matter jurisdiction over this case. Complainant alleges a breach or breaches of its service contract with Respondents. 46 U.S.C. § 40502(f) provides that the exclusive remedy for an alleged breach of a service contract (including any cause of action premised on the obligation to meet one's service contract commitments) is "an action in an appropriate court," not the Commission.

Third Affirmative Defense

Without waiving any other defenses, and for further answer, Respondents assert that the Commission lacks authority to regulate the reasonableness of cargo space accommodations, or any refusal thereof, for the time period covered by the Amended Complaint. While the Shipping Act, 1916 authorized the Commission to broadly regulate the reasonableness of cargo space accommodations, the Shipping Act of 1984 removed that authority with regard to service contracts. In the Ocean Shipping Reform Act of 1998, Congress continued this deregulatory narrowing of FMC authority, clarifying that the Shipping Act bars unfair or unjustly discriminatory practices in the matter of cargo space accommodations (or other unfair or unjustly discriminatory methods) only when undertaken in connection with service pursuant to a tariff. Congress purposefully eliminated the Commission's power to regulate the reasonableness of cargo space accommodations for service pursuant to a service contract, in favor of a deregulatory market-based approach. Congress only restored FMC authority to regulate space accommodations under service contracts in the Ocean Shipping Reform Act of 2022, enacted after the conduct at issue in the Complaint. The Commission cannot repurpose other provisions of the Shipping Act in novel and unintended ways, in order to reclaim regulatory powers that Congress specifically removed.

Fourth Affirmative Defense

Complainant failed to take reasonable steps to mitigate its damages.

Fifth Affirmative Defense

Respondent OOCL (Europe) Limited's area of operations is solely European trades, and as a result it had no involvement in the services at issue in the Amended Complaint.

Sixth Affirmative Defense

Complainant was not engaged in a protected activity that could support a claim for discrimination under the Shipping Act. Complainant was not "shut out" of future contractual

negotiations with Respondents, and no evidence exists that Respondent had a secondary objective to stifle outside competition. See Federal Maritime Commission Statement of the Commission on Retaliation, Docket No. 21-15, Issued December 29, 2021.

Seventh Affirmative Defense

Complainant was not engaged in a protected activity that could support a claim for retaliation under the Shipping Act. See Federal Maritime Commission Statement of the Commission on Retaliation, Docket No. 21-15, Issued December 29, 2021; see also *OJ Commerce, LLC v. Hamburg Sud*, Docket No. 21-11 (Order Affirming Initial Decision), slip op., August 27, 2024 (“The ALJ’s decision does not vastly expand the types of retaliation claims the Commission will consider, it only clarified that the category includes *formal notices of an intention to file a case with the Commission*, like OJC’s notice.” Slip op. at 32 (emphasis added).

The Commission also made clear that this limited expansion applies only to formal notices of intent to file a complaint, and not to informal statements that may suggest to a carrier that a shipper might possibly file a complaint:

“Further, the Commission affirms the ALJ’s decision was appropriate for the facts of this case, which included two *formal notices* of an intention to pursue legal action. Offhand bluster or idle threats are of a different class.” Id. at 33 (emphasis added). See *id.*, at 35 (referring the expansion as “protecting notices of an intention to file a case with the Commission”).

Complainant here has not alleged – either in the original or the amended Complaint -- that it sent Respondents any formal notice of intent to file a complaint with the FMC.

CONCLUSION

Based on the foregoing, Respondents respectfully request that the Presiding Officer and the Commission dismiss the Amended Complaint with prejudice, award attorney’s fees and costs to Respondents, and enter any further relief as may be appropriate.

Respondents request an oral hearing in Washington, D.C.

DATED: September 6, 2024.

Respectfully submitted,

Matthew J. Thomas
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**COUNSEL FOR RESPONDENTS
ORIENT OVERSEAS CONTAINER
LINE LIMITED AND OOCL (EUROPE)
LIMITED**

CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Complainant's counsel of record by email on this 6th day of September 2024.



Matthew J. Thomas



We take it personally

VERIFICATION

I, Gavin Murdoch declare as follows:

1. I am the Vice President, Risk and Compliance, of OOCL (USA) Inc.
2. I am duly authorized to make this verification on behalf of Orient Overseas Container Line Limited and OOCL (Europe) Limited.
3. I have read the contents of the Answer of Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited in FMC Docket No. 23-02 attached hereto, and I verify under penalty of perjury that the statements of fact contained therein are true and correct to the best of my knowledge, information, and belief.

Signed: September 6, 2024

A handwritten signature in black ink, appearing to read "Gavin Murdoch", is written over a horizontal line.

Gavin Murdoch

OOCL (USA) Inc.

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